STATE OF NORTH CAROLINA
UTILITIES COMMISSION
RALEIGH

DOCKET NO. E-2, SUB 1354

BEFORE THE NORTH CAROLINA UTILITIES COMMISSION

In the Matter of		
Application of Duke Energy Progress, LLC,	)	
for Approval of Joint Agency Asset Rider	)	ORDER DENYING MOTION TO
for Recovery of Costs Related to Facilities	)	DISMISS APPEAL
Purchased from Joint Power Agency	)	

BY THE COMMISSION: On November 13, 2025, the Commission issued an Order Approving Joint Agency Asset Rider, in Part, and Requiring Customer Notice (Initial Order) in the above-captioned docket. In summary, the Initial Order allowed only partial recovery of JAAR costs incurred by Duke Energy Progress, LLC (DEP).

On November 20, 2025, the Commission issued an Errata Order correcting the allowable recovery amount in the Initial Order (Errata Order).

On November 24, 2025, DEP filed its compliance tariffs and joint proposed public notice, which was approved by Commission order on November 26, 2025 (Notice Order, together with Initial Order and Errata Order, JAAR Orders).

On December 12, 2025, DEP filed a motion for extension of time to file notice of appeal and exceptions (Extension Motion) and a proposed order granting the motion for extension of time to file notice of appeal and exceptions. Filed after 4:00 p.m. on a Friday, DEP's Extension Motion requested that the Commission extend the deadline pursuant to N.C. Gen. Stat. § 62-90(a) (Notice Statute), for filing a notice of appeal and exceptions to the Commission's JAAR Orders from December 15, 2025[1] to January 14, 2026. The Extension Motion was granted by Commission order on December 18, 2025 (Extension Order).

On January 12, 2026, DEP filed a notice of appeal and exceptions (Notice). Among other things, the Notice cited N.C.G.S. §§ 7A-29(a) and 62-90 as well as Rule 18 of the North Carolina Rules of Appellate Procedure. The Notice also included a statement of the grounds on which DEP asserted error in the Commission's JAAR Orders.

On January 14, 2026, DEP filed a Supplemental Notice of Appeal and Exceptions further explaining its exceptions to the Commission's JAAR Orders.

[1] North Carolina General Statutes § 62-90 requires that a party appeal a final order within 30 days after the entry of the final order or decision, which, in this case fell on Saturday, December 13, 2025. Therefore, pursuant to Commission Rule R1-27, the deadline for any appeal was due by Monday, December 15, 2025.

On February 4, 2026, the Carolina Industrial Group for Fair Utilities II (CIGFUR), a party granted intervention by the Commission on June 23, 2025, filed a motion to dismiss DEP's Notice (Motion).

On February 23, 2026, DEP filed a Response in Opposition to CIGFUR's Motion to Dismiss Appeal (Response).

CIGFUR'S MOTION TO DISMISS DEP'S APPEAL

In its Motion, CIGFUR contended that DEP failed to timely file its Notice, missed the statutory deadline, and could no longer appeal. CIGFUR asserted that, under the Notice Statute, any party to a proceeding may appeal from any final order or decision before the Commission within 30 days, or within such time thereafter as may be fixed by the Commission, by "its order made within such 30 day period." Mot. at 4–5 (citing *State ex. Rel. Utils. Comm'n. v. Edmisten*, 291 N.C. 575, 232 S.E.2d 177 (1977)).

In support of its Motion, CIGFUR asserted that the deadline to file notice of appeal was jurisdictional and argued that, because the Commission did not issue an order granting DEP's Extension Motion within 30 days of the Initial Order, "DEP's notice of appeal was untimely." *Id*. CIGFUR further relied on the Commission's Order Dismissing Notice of Appeal (Biennial Order) in the Biennial proceeding to argue that the Commission could not "rely on policy arguments to ignore the plain language of the Public Utilities Act." *Id*. at 5. (citing Order Dismissing Notice of Appeal, *Biennial Determination of Avoided Cost Rates for Electric Utility Purchases from Qualifying Facilities – 2018*, No. E-100, Sub 158, at 9 (N.C.U.C. Oct. 15 2020)).

DEP'S RESPONSE TO CIGFUR'S MOTION

In its Response, DEP contended that its notice was timely filed under the Notice Statute because its January 12, 2026 filing was "within an additional time fixed by the Commission, not to exceed 30 additional days." Resp. at 5 (citing N.C.G.S.§ 62-90(a)). DEP further argued that the Notice Statute's requirement that the Commission issue an extension order within 30 days of the Initial JAAR Order is not a "mandatory, jurisdictional requirement" and, rather, a "directory, non-jurisdictional requirement that the Commission is authorized to exceed in the interests of justice." *Id*. at 6.

DEP cited United States Supreme Court precedent and asserted that courts should be "most reluctant to conclude that every failure of an agency to observe a procedural requirement voids subsequent agency action, especially when important public rights are at stake." *Id*. at 6–7. (citing *Brock v. Pierce Cnty.,* 476 U.S. 253, 260 (1986)). DEP argued that North Carolina courts have treated comparable statutory timing provisions as directory rather than mandatory. *Id*. at 7–8. Specifically, DEP contended that the time prescribed for the Commission to issue an extension order is a "matter of form rather than substance" and is analogous to statutory deadlines the appellate courts have likewise deemed directory. *Id*. at 7–8. (citing *State v. House*. 295 N.C. 189, 203 (1978); *Comm'r* *of Labor v. House of Raeford Farms*, 124 N.C. App. 349, 353 (1996); *State ex rel. Utils. Comm'n v. Empire Power Co.,* 112 N.C. App. 265, 277 (1993)).

DEP maintained that construing the Notice Statute's requirement that the Commission issue an extension order within 30 days of the Initial JAAR Order as a directory requirement "furthers the purpose of the statutory scheme set out in the Public Utilities Act." DEP implied that applying CIGFUR's interpretation would prejudice DEP's appeal rights and pose a risk to future parties. *Id.* at 10. DEP further argued that CIGFUR's reliance on the Biennial Order was misplaced because, in that proceeding, the party seeking appeal failed to comply with the statutory deadlines applicable to the party. In this case, DEP contended, the question is whether the Commission complied with a statutory timing provision "applicable to the Commission," an issue DEP maintained was not addressed in the Biennial Order. *Id*. at 11.

DEP separately noted that, on the same day the Commission issued the Initial JAAR Order, it also issued the Order Approving Fuel Charge Adjustment and requiring Customer Notice (Final Fuel Order). *Id.* (citing *Application of Duke Energy, LLC Related to Fuel and Fuel-Related Charge Adjustments for Electric Utilities*, No. E-2, Sub 1358 (N.C.U.C. Nov. 13 2025)). DEP further noted that the Public Staff filed a "substantive identical unopposed motion" (Public Staff Motion) that requested a 30-day extension of time to file a notice of appeals and exceptions to the Final Fuel Order earlier on the same day that DEP filed its Extension Motion. *Id*. DEP pointed out that the Commission granted the Public Staff's Motion within 30 days of the Final Fuel Order but did not grant DEP's Extension Motion within 30 days of the Initial JAAR Order. *Id*. at 11–12. DEP argued that "there is no reasonable policy or legal basis to support the view that [DEP] should be arbitrarily prohibited from pursuing its appeal of one rider proceeding while the Public Staff is allowed to pursue its appeal of another parallel rider proceeding." *Id*. at 12.

Lastly, DEP argued that, if the Commission concludes that the Extension Order is ineffective, it should take additional action to "avoid prejudicing DEP's ability to seek judicial review." *Id*. DEP argued that N.C.G.S. § 62-2 directs the Commission to provide "fair regulation of public utilities in the interest of the public," and asserted that the Commission could exercise its discretionary authority under N.C.G.S. § 62-80 to rescind and reissue its Initial JAAR Order, thereby allowing DEP to appeal within 30 days of the reissued order. *Id*. at 12–13. DEP contended that

> [f]rom all appearances, the Commission's JAAR Extension Order led all parties to believe that DEP would have 30 additional days to file its notice of appeal. Again, CIGFUR's own conduct underscores this point. CIGFUR did not oppose DEP's JAAR Extension Motion. Nor did it object when the Commission granted that motion and extended DEP's appeal deadline. Preventing DEP from appealing would unfairly penalize and prejudice DEP.

Id. at 13. DEP further asserted that CIGFUR did not promptly raise any argument that the Extension Order was improper or ineffective and did not claim it suffered prejudice from the Commission issuing the Extension Order three days later than expected. *Id*.

JURISDICTION

Pursuant to Rule 25(a) of the North Carolina Rules of Appellate Procedure, "Prior to the filing of an appeal in an appellate court, motions to dismiss are made to the court, commission, or commissioner from which appeal has been taken; after an appeal has been filed in an appellate court, motions to dismiss are made to that court." DEP's appeal has not reached the stage of being filed in the appellate division. Therefore, CIGFUR's motion to dismiss is before the Commission See *Farm Credit Bank v. Edwards*, 121 N.C. App. 72, 464 S.E.2d 305 (1995).

DISCUSSION AND CONCLUSIONS

In matters within the Commission's jurisdiction, the right of appeal is generally governed by N.C.G.S. § 62-90. Specifically, the Notice Statute indicates that,

> any party to a proceeding before the Commission may appeal from any final order or decision of the Commission within 30 days after the entry of the final order or decision, or within an additional time fixed by the Commission, not to exceed 30 additional days, and by order made within 30 days, if the party aggrieved by the decision or order files with the Commission a notice of appeal that sets forth specifically the ground or grounds on which the aggrieved party considers the decision to be unlawful, unjust, unreasonable, or unwarranted and that includes the errors alleged to have been committed by the Commission.

See N.C.G.S. § 62-90(a). Here, CIGFUR did not challenge whether DEP's Notice sets forth the specific grounds on which DEP considers the decision to be unlawful, unjust, unreasonable, or unwarranted, nor did CIGFUR argue that DEP failed to include the errors alleged to have been committed by the Commission. Furthermore, CIGFUR did not contend that DEP failed to file its Notice within the additional time fixed by the Commission, nor did it allege any resulting prejudice. Instead, CIGFUR argued that DEP's Notice must be dismissed solely because the Commission did not enter the Extension Order within the applicable statutory timeframe. The Commission is not persuaded by CIGFUR's arguments.

As DEP noted, North Carolina courts have previously recognized that certain statutory deadlines are directory rather than mandatory, and these courts have explained that whether a statutory time provision is jurisdictional in nature "depends upon whether the legislature intended the language to be mandatory or directory." *State ex rel. Utils. Comm'n v. Empire Power Co.* 112 N.C. App. 265, 277, 435 S.E.2d 553, 559 (1993) (citing *Art Society v. Bridges*, 235 N.C. 125, 130, 69 S.E.2d 1, 5 (1952)). The North Carolina Court of Appeals has further observed that "statutory time periods are generally considered to be directory rather than mandatory unless the legislature expresses a consequence for failure to comply within the time period." *Id*.

A review of the Notice Statute does not reveal an express consequence in the event that the Commission does not issue an order fixing additional time to appeal within 30 days of a final decision. Furthermore, the Notice Statute specifically limits the

Commission's authority to extend the appeal deadline to no more than 30 days, thereby essentially providing notice to all parties that an appeal must be filed no more than 60 days after entry of the final decision, as occurred here. Nothing in the Notice Statute suggests that the General Assembly intended to impose a mandatory, jurisdictional deadline that would preclude a party's right to appeal and, ultimately, its right to due process based on circumstances outside of the party's control, namely, the Commission taking slightly longer to grant an Extension Motion statutorily limited to no more than 60 days.

DEP filed its Extension Motion after 4:00 p.m. on Friday, December 12, 2025, which, under the reasoning outlined in CIGFUR's Motion, would have left the Commission approximately nine business hours to evaluate the request and complete the necessary internal processes to enter an extension order while also attending to the Commission's other business. However, nothing in the Notice Statute suggests that the outlined timing provisions are of a jurisdictional or mandatory nature, particularly when the Statute specifies no consequence for the Commission's noncompliance other than to significantly and inequitably prejudice the parties. Accordingly, the Commission finds that, similar to *Comm'r of Labor v. House of Raeford Farms*, the statutory requirement that the Commission issue an order granting additional time within 30 days of the Initial JAAR Order was intended to spur the Commission to action, rather than limit the Commission's authority. *See* 124 N.C. App. 349, 355–56, 477 S.E.2d 230, 234 (1996).

Based upon the foregoing, and the entirety of the record in this proceeding, the Commission concludes that DEP's Notice filed on January 12, 2026, was timely filed. Accordingly, the Commission concludes that CIGFUR's Motion shall be, and is hereby, denied.

IT IS, THEREFORE, SO ORDERED.

ISSUED BY ORDER OF THE COMMISSION.

This the 13th day of March, 2026.

NORTH CAROLINA UTILITIES COMMISSION

A. Shonta Dunston

A. Shonta Dunston, Chief Clerk

Commissioner Donald van der Vaart dissents.

Commissioner van der Vaart dissenting:

I respectfully dissent from the majority's order denying the Motion to Dismiss filed by the Carolina Industrial Group for Fair Utility Rates II (CIGFUR). The majority holds that the statutory requirement in N.C.G.S. § 62-90(a) that the Commission issue an extension order "within 30 days" of the final order is merely directory, and that the Commission's failure to issue the Extension Order within the statutory window does not affect Duke Energy Progress, LLC's (DEP) right to appeal. I disagree. In my view, the plain language of the statute, the jurisdictional nature of appeal deadlines under North Carolina law, the weight of precedent, and the recent direction of the Court of Appeals all compel the conclusion that DEP's Notice of Appeal was untimely and should be dismissed.

I. The Majority Misapplies the Directory/Mandatory Framework

The majority's analysis begins and ends with the proposition that statutory time provisions are "generally considered to be directory rather than mandatory unless the legislature expresses a consequence for failure to comply within the time period." (citing *State ex rel. Utils. Comm'n v. Empire Power Co.*, 112 N.C. App. 265, 277 (1993)). From this general principle, the majority reasons that because N.C.G.S. § 62-90(a) does not specify an express consequence for the Commission's failure to issue an extension order within 30 days, the time provision must be directory. This reasoning is flawed in several respects.

First, the majority applies the wrong framework. The general rule that statutory time provisions are directory absent an express consequence applies to *administrative action deadlines*—that is, deadlines for agencies to complete their work product, such as issuing decisions or completing investigations. The provision at issue here is not of that character. N.C.G.S. § 62-90(a) is an *appeal deadline statute*. It defines the temporal window within which a party may invoke appellate jurisdiction. The distinction matters because appeal deadlines occupy a unique position in the law: they are the mechanism through which final orders become truly final. Treating the Commission's extension authority under N.C.G.S. § 62-90(a) as directory effectively means that no Commission order is ever final until the Commission says it is.

Second, the majority's reliance on *Empire Power* is misplaced. In that case, the Court of Appeals addressed whether the Commission's failure to act within a prescribed time period voided the Commission's *own subsequent action*. The question was whether a statutory deadline for the Commission to complete a proceeding was jurisdictional. That is a fundamentally different question from the one before us. Here, the question is not whether the Commission's action was timely; it is whether a party's appeal is timely. Appeal deadlines are routinely treated as jurisdictional even where other deadlines within the same statutory scheme are not. See *Dogwood Dev. & Mgmt. Co. v. White Oak Transp. Co.*, 362 N.C. 191, 197–98 (2008).

Third, the majority's *House of Raeford Farms* analogy is inapt. In that case, the Court addressed whether the Commissioner of Labor's failure to issue a citation within a statutory time period deprived the Commissioner of jurisdiction to pursue an enforcement action. 124 N.C. App. 349, 355–56 (1996). The Court held the deadline was directory because it was intended to "spur" the Commissioner to timely action, not to strip him of enforcement authority. But the deadline at issue here does not "spur" anyone. It defines the outer boundary of the Commission's power to extend the appeal window. The legislature gave the Commission the authority to grant a limited extension, but conditioned that authority on the Commission acting within a defined period. Once that period passes, the authority expires.

Finally, the majority's observation that N.C.G.S. § 62-90(a) contains no "express consequence" for the Commission's failure to act within 30 days simply ignores the obvious structural consequence: if the Commission does not extend the deadline, the deadline is not extended, and the party's time to appeal expires under the statute's baseline 30-day rule. The consequence is built into the architecture of the statute itself. The legislature did not need to say "and if the Commission fails to act within 30 days, the extension is void," because the extension never comes into existence until the Commission acts. An extension order issued outside the statutory window is an order the Commission had no authority to enter.

II. The Appeal Deadline Under N.C.G.S. § 62-90(a) is Jurisdictional

Our Supreme Court has squarely held that the deadline for filing a notice of appeal under is jurisdictional. In *Dogwood*, the Court explained that this deadline is not subject to equitable exception. 362 N.C. at 197–98. In *Lewis v. N.C. Dep't of Human Res.*, 92 N.C. App. 737, 739 (1989), the Court of Appeals dismissed an appeal where the notice was filed just one day after the statutory deadline.

The majority attempts to distinguish these cases by framing the issue as one involving a deadline "applicable to the Commission" rather than one applicable to the appealing party. This framing fundamentally mischaracterizes the statutory structure. The 30-day extension window in N.C.G.S. § 62-90(a) is not a deadline *for the Commission* in the way that, say, a deadline to issue a decision is a deadline for the Commission. It is part of the statutory definition of the appeal window itself. The Commission's extension authority is a component of the appeal deadline statute, not a freestanding administrative obligation. When the Commission fails to act within the window, the appeal deadline is 30 days, period. The Commission does not have the power to enlarge it after the fact, any more than a trial court has the power to extend a notice-of-appeal deadline after the deadline has already passed.

III. DEP's Equitable Arguments Do Not Overcome the Statutory Text

The majority is sympathetic to DEP's argument that it should not lose its appeal rights based on "circumstances outside of the party's control." The majority notes that DEP filed its Extension Motion after 4:00 p.m. on a Friday, leaving approximately nine business hours for the Commission to act. I understand the practical concern, but this framing inverts the proper analysis.

DEP was in full control of when it filed its Extension Motion. The JAAR Orders were issued on November 13, 2025. DEP had 30 days to evaluate those orders and, if it wished to preserve the option of an extension, file its motion with enough lead time for the Commission to act. DEP waited until the last business day before the weekend preceding its own stated deadline. If DEP believed the orders were sufficiently complex to require more than 30 days of evaluation—and it said as much in its Extension Motion—then it could have filed the motion earlier, giving the Commission adequate time to act within the statutory window. DEP chose not to do so. The consequence of that choice should fall on DEP, not on the finality of the Commission's order.

Nor am I moved by DEP's argument that no party opposed the Extension Motion or objected to the Extension Order. The timeliness of an appeal is a jurisdictional question that cannot be waived by the parties' silence. A jurisdictional defect does not heal itself because no one raises it promptly. As our courts have recognized, jurisdictional issues may be raised at any time. The fact that CIGFUR waited until February, 2026 to file its Motion to Dismiss does not validate an extension order that was entered outside the Commission's statutory authority.

DEP's suggestion that the Commission could cure the defect by rescinding and reissuing the JAAR Orders under N.C.G.S. § 62-80 is extraordinary. If adopted, it would mean that any time the Commission fails to act on an extension motion within the statutory window, it could simply reissue the underlying order to restart the appeal clock. This would render the temporal limitations of N.C.G.S. § 62-90(a) entirely meaningless—a result incompatible with the principle that the legislature does not enact statutory language that serves no purpose. See *N.C. Dept. of Corr. v. N.C. Med. Bd.*, 363 N.C. 189, 201 (2009).

IV. The Court of Appeals' Recent Fuel Rider Decision Reinforces the Primacy of Statutory Temporal Limitations

The North Carolina Court of Appeals' recent decision in *In re Application of Duke Energy Carolinas, LLC*, No. COA25-203 (N.C. Ct. App. Feb. 18, 2026), while addressing a different provision of Chapter 62, underscores the principle that should govern here. In that case, the Court reversed this Commission, holding that the phrase "during the test period" in N.C.G.S. § 62-133.2(d) imposes a temporal limitation on the EMF true-up. The Court rejected DEC's argument that the statutory language should be read expansively to serve the policy goal of eliminating over- or under-recovery, stating plainly that "[i]t is not the role of this Court to second-guess the legislature's plainly written intent in favor of other methods it deems more effective."

The same principle applies here with equal force. The phrase "by order made within 30 days" in N.C.G.S. § 62-90(a) is a temporal limitation on the Commission's extension authority, just as "during the test period" was a temporal limitation on EMF recovery. The majority's conclusion that this phrase is merely advisory cannot be squared with the Court of Appeals' insistence that statutory temporal language be given its plain effect.

Moreover, the Court of Appeals' analysis of the Session Law 2025-78 amendment is instructive. The Court held that removing the phrase "during the test period" from

N.C.G.S. § 62-133.2(d) was a *substantive alteration*—not a mere clarification—*precisely because the temporal phrase had meaning*. The Court reasoned that to hold otherwise "would be to hold that the phrase served no purpose in the original statute." The same logic applies to N.C.G.S. § 62-90(a): treating "by order made within 30 days" as directory renders the phrase surplusage. If the Commission can extend the appeal deadline by order issued at any time, then the phrase imposes no constraint at all—a result that offends the canon against surplusage and the legislature's demonstrated intent to cabin the Commission's extension authority.

V. The Parallel to the Underlying JAAR Order

There is a final point that warrants mention. The JAAR Rider Order that DEP seeks to appeal denied DEP's attempt to reach back across prior rider periods to correct a revenue reporting error. The Commission concluded that DEP could not retroactively adjust the Joint Agency Asset RRF to account for $16.1 million in revenues it had overreported in prior proceedings, because the temporal and procedural limitations of N.C.G.S. § 62-133.14(c) and Commission Rule R8-70(b)(1)(vi) restrict adjustments to those arising from the operation of the rider during the test period.

The Commission was right to enforce those temporal limitations. Statutory deadlines—whether they define the scope of a rider true-up or the window for appellate review—serve the critical function of ensuring finality, predictability, and fairness in the regulatory process. DEP cannot simultaneously defend the proposition that the Commission erred in enforcing the temporal limitations of the JAAR statute while asking this Commission to ignore the temporal limitations of the appeal statute. If temporal limitations in Chapter 62 mean what they say when they constrain utilities, they must also mean what they say when they constrain the Commission's authority to extend appeal deadlines.

CONCLUSION

For the foregoing reasons, I would grant CIGFUR's Motion to Dismiss and dismiss DEP's Notice of Appeal and Exceptions filed on January 12, 2026, and its Supplemental Notice of Appeal and Exceptions filed on January 14, 2026, as untimely. The majority's contrary conclusion rests on a misapplication of the directory/mandatory distinction, disregards the jurisdictional character of appeal deadlines under N.C.G.S. § 62-90(a), and cannot be reconciled with the Court of Appeals' recent insistence that temporal limitations in Chapter 62 be given their plain effect.

/s/ Donald van der Vaart
Commissioner Donald van der Vaart